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Time: _____

Instructor: Alejandro Melo Ponce
Course: ECO108-Summer 2015
Book: Miller: Economics Today 18e

Assignment: Assignment 6

1. The long-run aggregate supply curve is determined by
- ☐ A. the full-employment level of real output.
 - ☐ B. the relationship between price and quantity supplied.
 - ☐ C. the real value of cash balances.
 - ☐ D. the amount of inflation in the economy.

Answer: A

2. The long-run aggregate supply curve shifts outward when
- ☐ A. there are changes in the power of government.
 - ☐ B. there is economic growth.
 - ☐ C. there is increased demand of real goods and services.
 - ☐ D. the real-balance effect takes hold.

Answer: B

3. The long-run aggregate supply curve
- ☐ A. is downward sloping because a higher price level causes businesses and consumers to reduce spending.
 - ☐ B. is vertical because changes in the price level have no effect on real output.
 - ☐ C. shows the various amounts of real output businesses are willing to consume at each price level.
 - ☐ D. is vertical because a change in real GDP has no effect on the price level.

Answer: B

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4. Suppose that there is a sudden fall in the price level. As a consequence, economywide planned spending on purchases of goods and services will _____.

increase
decrease
not change

Which of the following is *not* a reason for this change in economywide planned spending?

- ☐ A. The substitution effect.
☐ B. The interest rate effect.
☐ C. The real-balance effect.
☐ D. The open economy effect.

Answers **increase**

A

5. From the list below, match the letter of the outcome each of the following events produces upon the AD curve.

- A** Shifts to right
B Shifts to left
C Movement up along
D Movement down along

Type in a single letter (A, B, C or D).

Deflation has occurred during the past year.

☐

Real GDP levels of all the nation's major trading partners have declined.

☐

There has been a decline in the foreign exchange value of the nation's currency.

☐

The price level has increased this year.

☐

Answers **D**

B

A

C

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6. Total expenditures for domestically produced goods and services consist of
- ☐ A. consumer spending, business spending, government spending, and net foreign spending.
 - ☐ B. consumer spending only.
 - ☐ C. consumer spending, business spending, and net foreign spending.
 - ☐ D. government spending only.

Answer: A

7. What determines the total value of annual U.S. GDP?
- ☐ A. Wall Street.
 - ☐ B. The spending and production decisions of consumers, firms, governments, and foreigners.
 - ☐ C. The Congressional Budget Office.
 - ☐ D. The Federal Reserve Board.

Answer: B

8. The total of all *planned* real expenditures in the economy is
- ☐ A. aggregate spending.
 - ☐ B. aggregate consumption.
 - ☐ C. aggregate demand.
 - ☐ D. aggregate GDP.

Answer: C

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9. The aggregate demand curve

- ☐ A. is equivalent to GDP.
- ☐ B. is equivalent to the horizontal summation of all consumers' demand curves for all goods and services.
- ☐ C. shows planned purchase rates of goods and services at various price levels.
- ☐ D. is the total of all planned production for the economy.

Answer: C

10. According to the real-balance effect, an increase in the price level

- ☐ A. increases an individual's expenditures due to an increase in the real value of cash balances.
- ☐ B. does not affect the real value of cash balances in the short-run.
- ☐ C. does not affect the real value of cash balances in the long-run.
- ☐ D. reduces an individual's expenditures due to a decrease in the real value of cash balances.

Answer: D

11. According to the interest rate effect, an increase in the price level

- ☐ A. reduces the aggregate quantity of goods and services demanded.
- ☐ B. increases nominal interest rates.
- ☐ C. reduces borrowing and spending.
- ☐ D. All of the above.

Answer: D

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12. Which of the following will generate an increase in aggregate demand?

- ☐ A. A decrease in the price level.
- ☐ B. A tax increase.
- ☐ C. Government spending for the onset of a war.
- ☐ D. An increase in the foreign exchange value of the dollar.

Answer: C

13. The U.S. aggregate demand curve would shift to the left if

- ☐ A. there was a tax decrease.
- ☐ B. the economic conditions in Europe improved.
- ☐ C. the Federal Reserve Board caused the real interest rate to increase.
- ☐ D. the foreign exchange rate of the dollar decreased.

Answer: C

14. The aggregate demand curve would shift to the right as a result of

- ☐ A. a drop in the price level.
- ☐ B. a decrease in the amount of money in circulation.
- ☐ C. tax increases.
- ☐ D. a drop in the foreign exchange value of the dollar.

Answer: D

15. All of the following would cause the aggregate demand curve to shift *except*

- ☐ A. price level changes.
- ☐ B. an improvement in economic conditions in other countries.
- ☐ C. increased security about jobs and future income.
- ☐ D. an increase in taxes.

Answer: A

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16. Which of the following is a correct explanation for why the aggregate demand curve slopes downward?

- ☐ A. As the price level decreases, the real value of cash balances increases, and total expenditures rise.
- ☐ B. As the price level decreases, consumers substitute more expensive goods for less expensive choices.
- ☐ C. As the price level decreases, the labor force increases.
- ☐ D. As the price level decreases, exports become more expensive overseas and imports become relatively less expensive domestically, and thus net exports rise.

Answer: A

17. The primary difference between the aggregate demand curve and an individual demand curve is that

- ☐ A. the aggregate demand curve represents total planned expenditures on all goods and services while an individual demand curve represents a single good or service.
- ☐ B. a change in the price level will shift the aggregate demand curve but not an individual demand curve.
- ☐ C. a change in real balances will shift an individual demand curve but not the aggregate demand curve.
- ☐ D. the aggregate demand curve is vertical in the long run, while an individual demand curve is downward sloping.

Answer: A

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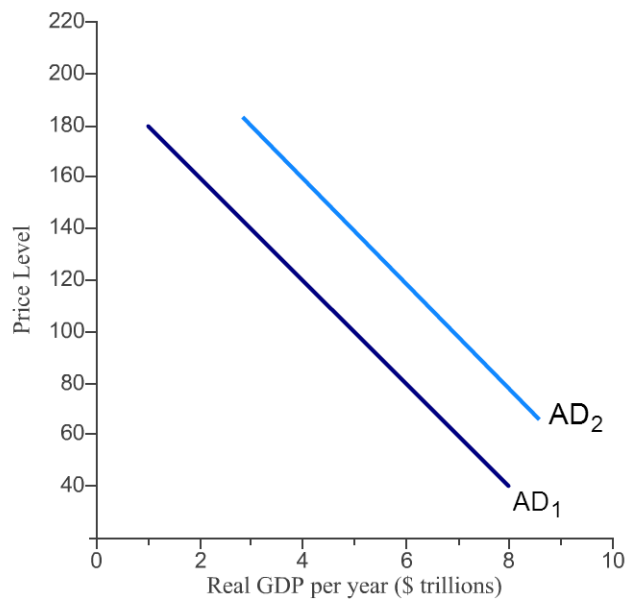
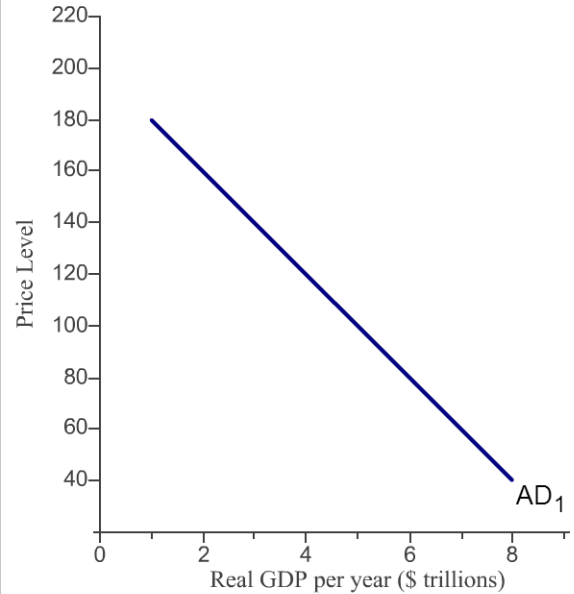
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18. The graph shows the aggregate demand curve in a representative economy.

Suppose that there is an increase in the money supply.

Using the line drawing tool, show the effect on the aggregate demand curve, and label your new curve.

Carefully follow the instructions above, and only draw the required objects.



Answer:

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19. Suppose that the long-run aggregate supply curve is positioned at a real GDP level of \$14 trillion in base year dollars, and the long-run equilibrium price level (in index number form) is 120.

The corresponding full employment level of *nominal* GDP must be \$ trillion dollars (*Enter your response rounded to one decimal place*).

Answer: 16.8

20. Suppose that the full employment level of *nominal* GDP rises in one year from \$16.8 to \$18.0 trillion. The long-run equilibrium price level, however, remains unchanged at 120.

By how much (in real dollars) has the long-run aggregate supply curve shifted to the right from one year to the next? \$ trillion. (*Round your answer to two decimal places.*)

By how much, if any, has the **aggregate demand** curve shifted to the right?

- ☐ A. AD has shifted exactly by \$1.2 trillion.
☐ B. AD has not shifted.
☐ C. AD has shifted by less than \$1.2 trillion.
☐ D. AD has shifted exactly by \$1.00 trillion.

Answers 1.00

D

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21. Identify the combined shifts in long-run aggregate supply and aggregate demand that could unambiguously explain the simultaneous occurrences of an increase in equilibrium real GDP and increase in the equilibrium price level.

- ☐ A. Long-run aggregate supply schedule (LRAS) shifts to the right and aggregate demand schedule (AD) shifts to the left.
- ☐ B. Long-run aggregate supply schedule (LRAS) shifts to the left and aggregate demand schedule (AD) shifts to the left.
- ☐ C. Long-run aggregate supply schedule (LRAS) shifts to the right and aggregate demand schedule (AD) shifts to the right by a larger amount.
- ☐ D. Long-run aggregate supply schedule (LRAS) shifts to the left and aggregate demand schedule (AD) shifts to the right.

Identify the combined shifts in long-run aggregate supply and aggregate demand that could unambiguously explain the simultaneous occurrences of a decrease in equilibrium real GDP with no change in the equilibrium price level.

- ☐ A. Long-run aggregate supply schedule (LRAS) shifts to the right and aggregate demand schedule (AD) shifts to the right.
- ☐ B. Long-run aggregate supply schedule (LRAS) shifts to the right and aggregate demand schedule (AD) shifts to the left.
- ☐ C. Long-run aggregate supply schedule (LRAS) shifts to the left and aggregate demand schedule (AD) shifts to the right.
- ☐ D. Long-run aggregate supply schedule (LRAS) shifts to the left and aggregate demand schedule (AD) shifts to the left by an equal amount.

Identify the combined shifts in long-run aggregate supply and aggregate demand that could unambiguously explain the simultaneous occurrences of an increase in equilibrium real GDP with no change in the equilibrium price level.

- ☐ A. Long-run aggregate supply schedule (LRAS) shifts to the right and aggregate demand schedule (AD) shifts to the right by an equal amount.
- ☐ B. Long-run aggregate supply schedule (LRAS) shifts to the left and aggregate demand schedule (AD) shifts to the right.
- ☐ C. Long-run aggregate supply schedule (LRAS) shifts to the right and aggregate demand schedule (AD) shifts to the left.
- ☐ D. Long-run aggregate supply schedule (LRAS) shifts to the left and aggregate demand schedule (AD) shifts to the left.

Answers C

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21. D
(cont.) A

22. Suppose that during the past 3 years, equilibrium real GDP in a country rose steadily, from \$459 billion to \$509 billion, but even though the position of its aggregate demand curve remained unchanged, its equilibrium price level steadily declined, from 111 to 106. What could have accounted for these outcomes, and what is the term for the change in the price level experienced by this country?

- ☐ A. Economic growth without an increase in aggregate demand; secular deflation.
☐ B. Recession with inflation; stagflation.
☐ C. Increase in aggregate demand without economic growth: disinflation.
☐ D. Economic growth with an increase in aggregate demand; secular deflation.

Answer: A

23. Suppose that during a given year, the quantity of U.S. real GDP that can be produced in the long run falls from \$13 trillion to \$12.5 trillion, measured in base-year dollars .
During the year, no change occurs in the various factors that influence aggregate demand. As a result, the U.S. long-run equilibrium price level during this particular year will

increase
decrease
not change

Answer: increase

24. Assume that the economy is in long-run equilibrium with complete information and that input prices adjust rapidly to changes in the prices of goods and services.

If there is a sudden rise in the price level induced by an increase in aggregate demand, real

GDP will

increase
not change
decrease

Answer: not change

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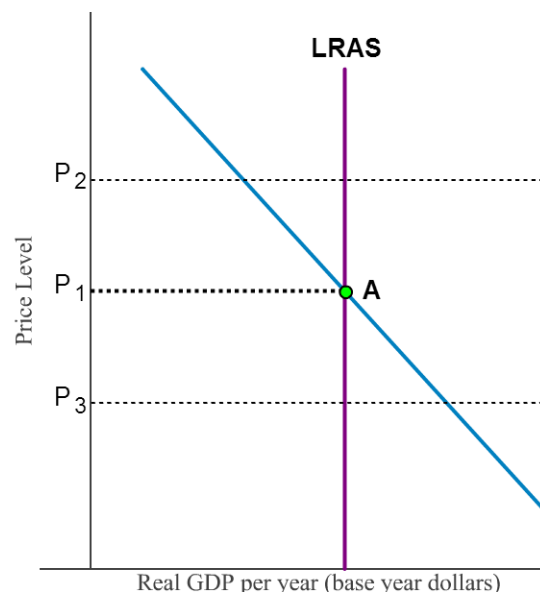
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25. Consider the accompanying diagram when answering the questions that follow.

Suppose that the current price level is P_2 . In this case, the price will fall toward P_1 because

- ☐ A. firms would stand ready to offer more services than people wish to purchase.
- ☐ B. actual real GDP would be greater than total planned real expenditures.
- ☐ C. inventories of unsold goods would begin to accumulate.
- ☐ D. All of the above.
- ☐ E. A and B, but not C.



Answer: D

26. This year, a nation's long-run equilibrium real GDP and price level both decreased. Which of the combinations of factors might simultaneously account for *both* occurrences? In the response box, for each of the following pair of events insert Y to indicate YES and N to indicate NO.

- a. An isolated earthquake at the beginning of the year destroyed part of the nation's capital stock, and the nation's government significantly reduced its purchases of goods and services.
- b. There was a minor technological improvement at the end of the previous year, and the quantity of money in circulation rose significantly during the year.
- c. Labor productivity increased somewhat throughout the year, and consumers significantly increased their total planned purchases of goods and services.
- d. The capital stock decreased somewhat during the year, and the quantity of money in circulation declined considerably.

Answers Y
 N
 N
 Y

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27. The figure to the right shows an economy in an initial long-run equilibrium at point A.

a. Using the line drawing tool, show how, if at all, the equilibrium real GDP and the long-run equilibrium price level are affected by a reduction in the quantity of money in circulation. Properly label this line.

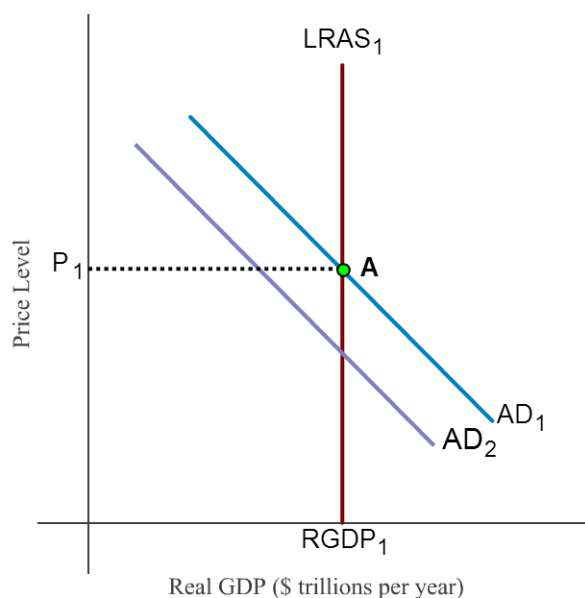
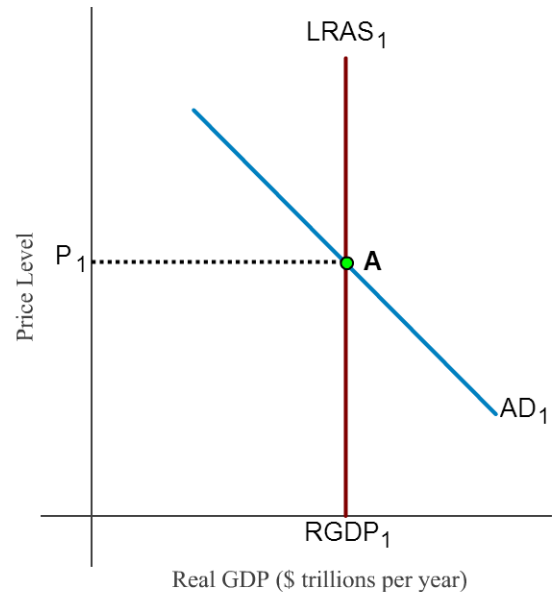
Carefully follow the instructions above, and only draw the required objects.

b. According to your graph, the equilibrium

price level falls while the equilibrium real

GDP

increases
decreases
is unchanged



Answers

falls

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27. _____ is unchanged
(cont.)

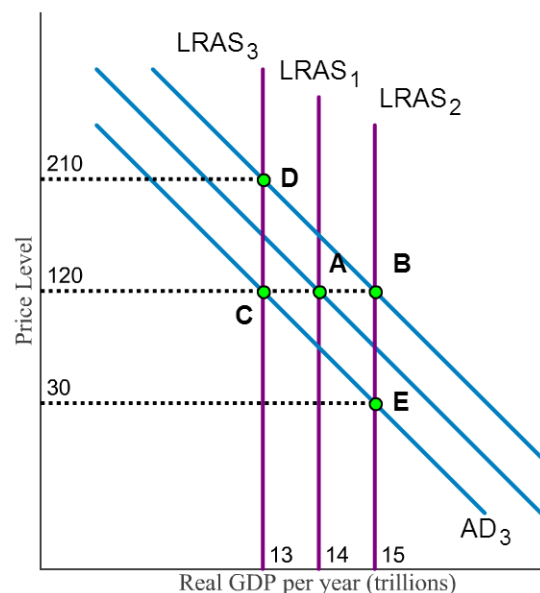
28. For each event below, suppose that the economy *begins* at the long-run equilibrium point *A* in the figure to the right.

Identify which of the other points on the diagram – points *B*, *C*, *D*, or *E* — could represent a *new* long-run equilibrium after the described events take place and move the economy away from point *A*.

Events

- a. Significant productivity improvements occur, and the quantity of money in circulation increases: ☐.
- b. No new capital investment takes place, and a fraction of the existing capital stock depreciates and becomes unusable. At the same time, the government imposes a large tax increase on the nation's households: ☐.
- c. More efficient techniques for producing goods and services are adopted throughout the economy at the same time that the government reduces its spending on goods and services. ☐.

Answers B
 C
 E



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29. Inflation can be caused by

- ☐ A. decreases in the long-run aggregate supply curve or increases in the aggregate demand curve.
- ☐ B. increases in the long-run aggregate supply curve or decreases in the aggregate demand curve.
- ☐ C. increases in the long-run aggregate supply curve or increases in the aggregate demand curve.
- ☐ D. decreases in the long-run aggregate supply curve or decreases in the aggregate demand curve.

Answer: A

30. Consider this statement: "Persistent inflation in a growing economy is possible only if the aggregate demand curve shifts rightward over time at a faster pace than the rightward progression of the long-run aggregate supply curve." This statement is describing

- ☐ A. demand-side inflation.
- ☐ B. supply-side inflation.
- ☐ C. Both demand-side and supply-side inflation.
- ☐ D. None of the above.

Answer: A

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31. Until 1946, residents of the island of Yap used large doughnut-shaped stones as financial assets. Although prices of goods and services were not quoted in terms of the stones, the stones were often used in exchange for particularly large purchases, such as payments for livestock. To make the transaction, several individuals would place a large stick through a stone's center and carry it to its new owner. A stone was difficult for any one person to steal, so an owner typically would lean it against the side of his or her home as a sign to others of accumulated purchasing power that would hold value for later use in exchange. Loans would often be repaid using the stones. These stones performed the following functions of money:
- ☐ A. unit of accounting, store of value, and standard of deferred payment functions of money.
 - ☐ B. medium of exchange, unit of accounting, and store of value functions of money.
 - ☐ C. medium of exchange, unit of accounting, and standard of deferred payment functions of money.
 - ☐ D. medium of exchange, store of value, and standard of deferred payment functions of money.

Answer: D

32. During the late 1970s, prices quoted in terms of the Israeli currency, the shekel, rose so fast that grocery stores listed their prices in terms of the U.S. dollar and provided customers with dollar-shekel conversion tables that they updated daily. Although people continued to buy goods and services and make loans using shekels, many Israeli citizens converted shekels to dollars to avoid a reduction in their wealth due to inflation. Thus, the U.S. dollar functioned as money in Israel during this period
- ☐ A. as a standard of deferred payment.
 - ☐ B. as a credit card.
 - ☐ C. as a store of value.
 - ☐ D. as a medium of exchange.

Answer: C

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33. During the 1945-1946 Hungarian hyperinflation, when the rate of inflation reached 41.9 *quadrillion* percent per month, the Hungarian government discovered that the real value of its tax receipts was falling dramatically. To keep real tax revenues more stable, it created a good called a "tax pengő", in which all bank deposits were denominated for purposes of taxation.

Nevertheless, payments for goods and services were made only in terms of the regular Hungarian currency, whose value tended to fall rapidly even though the value of a tax pengő remained stable. Prices were also quoted only in terms of the regular currency. Lenders, however, began denominating loan payments in terms of tax pengös. The tax pengő functioned as money in Hungary in 1945 and 1946

- ☐ A. as a unit of accounting.
- ☐ B. as a medium of exchange.
- ☐ C. as a store of value.
- ☐ D. as a barter exchange.

Answer: C

34. A credit card is not considered money because

- ☐ A. it simply defers rather than completes transactions that ultimately involve the use of money.
- ☐ B. it is not a unit of accounting.
- ☐ C. it is not a store of value.
- ☐ D. All of the above.

Answer: D

35. Which of the following assets is the least liquid?

- ☐ A. A share of publicly traded stock.
- ☐ B. A house.
- ☐ C. A three-month Treasury bill.
- ☐ D. Currency.

Answer: B

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36. Which of the following assets is the most liquid?

- ☐ A. An automobile.
- ☐ B. 50 shares of Microsoft stock.
- ☐ C. A traveler's check.
- ☐ D. A U.S. savings bond.

Answer: C

37. The opportunity cost of money holdings is

- ☐ A. the alternative interest income foregone from not holding some other asset.
- ☐ B. the reduction in purchasing power brought on by deflation.
- ☐ C. the liquidity foregone from not holding some other asset.
- ☐ D. All of the above.

Answer: A

38. Consider the following data.

Item	Value (\$ billions)
Currency	659
Savings and money market deposit accounts	2,940
Small-denomination time deposits	1,521
Traveler's checks outside banks and thrifts	8
Noninstitution money market mutual funds	849
Institution-only money market mutual funds	150
Transaction deposits	973

Calculate M1. \$ billion.

Calculate M2. \$ billion.

Answers 1,640

6,950

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39. \$15 billion in small – denomination time deposits is counted in

- ☐ A. both M1 and M2.
- ☐ B. M2 only.
- ☐ C. neither M1 nor M2.
- ☐ D. M1 only.

Answer: B

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40. Consider the following items.

A \$1,000 balance in a transactions deposit at a mutual savings bank.

This item is counted in

both M1 and M2
M1 only
M2 only
neither M1 nor M2

.

A \$100,000 certificate of deposit issued by a New York bank.

This item is counted in

M1 only
M2 only
both M1 and M2
neither M1 nor M2

.

A \$10,000 time deposit an elderly widow holds at her credit union.

This item is counted in

M1 only
M2 only
both M1 and M2
neither M1 nor M2

.

A \$50 traveler's check.

This item is counted in

M1 only
M2 only
both M1 and M2
neither M1 nor M2

.

A \$50,000 money market deposit account balance.

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40.
(cont.)

This item is counted in

M1 only
M2 only
both M1 and M2
neither M1 nor M2

Answers **both M1 and M2**
neither M1 nor M2
M2 only
both M1 and M2
M2 only

41. An example of a fiduciary monetary system is

- ☐ A. gold coins.
- ☐ B. silver coins.
- ☐ C. paper money that can be converted into gold at a fixed price.
- ☐ D. American one-dollar bills.

Answer: D

42. In order to be successful, money in a fiduciary monetary system must have

- ☐ A. portability and transformability.
- ☐ B. acceptability and predictability of value.
- ☐ C. divisibility and accountability.
- ☐ D. None of the above.

Answer: B

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43. A currency will cease to function as money if
- ☐ A. people learn that the inflation rate has been higher than they had thought.
 - ☐ B. people think that inflation was going to reduce the value of the currency.
 - ☐ C. people think that they will not be able to use it to exchange for goods and services later.
 - ☐ D. people learn that they cannot convert their currency into gold or silver.

Answer: C

44. What backs up the value of U.S. dollars?
- ☐ A. Gold.
 - ☐ B. Gold denominated Federal Reserve System assets.
 - ☐ C. Foreign currency reserves held by the Federal Reserve System.
 - ☐ D. Faith that the dollars represent command over goods and services.

Answer: D

45. The table below indicates the current values of various money accounts. All figures are denominated in billions of dollars.

Category (Money Account)	Current dollars (in Billions)	Category (Money Account)	Current dollars (in Billions)
Currency	512	Checkable deposits	
Traveler's checks	8	Small-denomination time deposits	
Overnight repurchase agreements	225	Savings and Money market deposits	
Money market funds	345	Vault cash	
Credit card debt	335	Short term Treasury securities	

The value of M_1 is \$. (Round your answer to the nearest dollar.)

The value of M_2 is \$. (Round your answer to the nearest dollar.)

Answers 1,305
 6,007

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46. Consider the following events:

Insurance companies offer safe driver discounts to encourage insured individuals to drive

safely. This is an attempt to

limit adverse selection
lower management costs
limit moral hazard

Pension funds tend to combine the retirement funds of many future retirees to

limit adverse selection
limit moral hazard
lower management costs

Savings banks review loan applications to determine which of the potential borrowers carry

high risk of default. This is an attempt to

limit moral hazard
lower management costs
limit adverse selection

Answers **limit moral hazard**
 lower management costs
 limit adverse selection

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47. Consider each of the following events in the financial markets:

A manager of a savings and loan association responds to reports of a likely increase in federal deposit insurance coverage. She directs loan officers to extend mortgage loans to less

creditworthy borrowers. This situation poses

a moral hazard problem
neither
an adverse selection problem

A loan applicant does not mention that a legal judgment in his divorce case will require him to

make alimony payments to his ex-wife. This situation poses

an adverse selection problem
neither
a moral hazard problem

An individual who was recently approved for a loan to start a new business decides to use some of the funds to take a Hawaiian vacation. This situation poses

a moral hazard problem
neither
an adverse selection problem

Answers **a moral hazard problem**
 an adverse selection problem
 a moral hazard problem

48. Scott is seeking a loan from his bank for a home improvement project. He receives the loan and then decides to take a special vacation opportunity to Las Vegas and enter a gambling tournament. The bank, as a financial intermediary, is facing a problem of

- ☐ A. adverse selection.
- ☐ B. symmetric information.
- ☐ C. moral hazard.
- ☐ D. liabilities.

Answer: C

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49. Which of the following is a major reason why financial intermediaries, such as banks, exist?

- ☐ A. Financial intermediaries exist because they provide a medium of exchange for their customers.
- ☐ B. The existence of asymmetric information makes financial intermediaries more efficient in channelling money to its most efficient use.
- ☐ C. Banks create near monies.
- ☐ D. Banks exist to facilitate exchanges through barter.

Answer: B

50. Which of the following is *not* a duty of the a central bank?

- ☐ A. Performing banking functions for its respective government.
- ☐ B. Conduct monetary policy for its respective government.
- ☐ C. Guarantee the savings of its citizens.
- ☐ D. Provide financial services for private banks.

Answer: C

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51. Which of the following does *not* describe some of the functions of the Federal Reserve Bank?

- ☐ A. Acts as the government's fiscal agent, supervises banks and acts as a lender of last resort.
- ☐ B. Supplies the economy with fiduciary currency, provides a system for check clearing and holds depository institutions' reserves.
- ☐ C. Acts as a medium of exchange, a unit of accounting, a store of value and a standard of deferred payment.
- ☐ D. Regulates the money supply and intervenes in foreign exchange markets.

When the Fed acts as the lender of the "last resort" it means that

- ☐ A. the Fed lends to depository institutions it deems should not fail.
- ☐ B. the Fed lends to all depository institutions whenever they are in need.
- ☐ C. the Fed is the last place a business can get a loan before declaring bankruptcy.
- ☐ D. the Fed lends to all depository institutions that belong to the Federal Reserve system whenever they are in need.

Answers C

A

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52. Consider the following items on a bank's balance sheet.

Loans to a private company are

assets
neither
liabilities

Borrowings from a Federal Reserve district bank are

assets
neither
liabilities

Deposits with a Federal Reserve district bank are

assets
neither
liabilities

U.S. Treasury bills are

neither
assets
liabilities

Vault cash is

neither
an asset
a liability

Loans to other banks in the federal funds market are

assets
neither
liabilities

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52.
(cont.)

Transactions deposits are

neither
assets
liabilities

Answers **assets**
 liabilities
 assets
 assets
 an asset
 assets
 liabilities

53. Consider a bank balance sheet, with "Assets" on the left and "Liabilities" on the right side. Identify where the following items belong.

- I. Deposits this bank holds in an account with another private bank.
- II. Borrowings from another bank in the interbank loan market.

- ☐ A. I: liabilities; II: assets.
- ☐ B. Both liabilities.
- ☐ C. I: assets; II: liabilities.
- ☐ D. Both assets.

Answer: C

54. The reserve ratio is 3 percent. What is the value of the potential money multiplier?

The value of the potential money multiplier is . *(Enter your response rounded to two decimal places.)*

Answer: 33.33

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55. The Federal Reserve purchases \$12 million in U.S. Treasury bonds from a bond dealer, and the dealer's bank credits the dealer's account. The required reserve ratio is 12 percent, and the bank typically lends any **excess reserves** immediately.

Assuming that no currency leakage occurs, calculate how much will the bank be able to lend to its customers following the Fed's purchase. \$ million. *(Enter your response rounded to two decimal places.)*

Answer: 10.56

56. Suppose that the value of the potential money multiplier is equal to 8.

Calculate the required reserve ratio. %. *(Enter your response as a percentage rounded to one decimal place.)*

Answer: 12.5

57. Assume a 1 percent **required reserve ratio**, zero excess reserves, and no currency leakages.

Calculate the potential money multiplier. *(Enter your response as an integer value).*

If the Federal Reserve purchases \$4 million in U.S. government securities, calculate the change in total deposits in the banking system as a whole. \$ million.

Answers 100

400

58. Which of the following statements is *true* concerning a fractional reserve banking system?

- ☐ A. In this system a fraction of the banks receive deposits and the remaining fraction make loans.
- ☐ B. By law banks must loan out a fraction of the deposits they receive.
- ☐ C. A fractional reserve banking system only is operational when gold and silver are used as currency.
- ☐ D. Banks maintain a fraction of deposits on hand to meet the daily needs of their customers.

Answer: D

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59. Required reserves

- ☐ A. currently must be no more than 5% of the total checkable deposits of a depository institution.
- ☐ B. are the minimum amount of legal reserves that a depository institution must have to back up its checkable deposits.
- ☐ C. are equal to 100% of deposits in a fractional reserve banking system.
- ☐ D. are the minimum amount of reserves that must be loaned out by a depository institution.

Answer: B

60. A bank's only liabilities are \$13 million in transactions deposits. The bank currently meets its reserve requirement, and it holds no **excess reserves**. The required reserve ratio is 0.08.

Assuming that its only assets are legal reserves, loans, and securities, calculate the value of loans and securities held by the bank.

The value of loans and securities held by the bank is \$ million. *(Enter your response rounded to two decimal places.)*

Answer: 11.96
